Tata's portfolio. The acquisition was also timely as it took place when the second phase of the company's revival plan in India was under implementation.

Explaining the rationale behind the acquisition, Ratan said, 'We saw an opportunity in an entity that had a certain market share, that had a product line that we did not have, and that was a strategic fit for us. We brought in our marketing reach and made the company more profitable.'

Another aspect that influenced his move was that as the medium and heavy vehicle business is cyclical, the Korean company could hedge the risk of Tata Motors in case CVBU faced headwinds in India. There is a time lag between cyclicality in geographies and leveraging this would cushion Tata Motors from downturns. Another persuading factor was that Daewoo could give Tata Motors access to the company's technical expertise in processes and use the existing supply chain to produce trucks. The efforts finally paid off when Tata Motors, in February 2004, announced the acquisition of the Korean company for Rs 465 crore.

But acquiring the company was not without its share of drama. The family-held giant had come in for scathing criticism on several counts in its home country, including its corporate governance practices. Kim Woo Choong, the founder of Daewoo, had fled the country in 1999 and was later sentenced to ten years in prison for 'embezzlement and fraud'.

Given this background, there were considerable misgivings about an Indian family group replacing a Korean one. A lot of apprehensions had to be cleared. To help with the process, documents and videos relating to the corporate governance standards of the Tatas were translated into Korean and distributed. Local newspapers wrote about Ratan's frugal lifestyle and how the Tata Group was well-known for promoting good labour relations and charity.

The Koreans did not have to, however, research to ascertain the values of the group. Ratan's style when he visited Korea in connection with the acquisition was utterly simplistic and broke down barriers that separate employees from owners in traditional industries in the county. He arrived in Gunsan, the factory premises of Daewoo, in a taxi. He also surprised the managers and workers by freely interacting with them. As one journal commented, it broke the 'Korean culture barrier'. Whatever little fears remained regarding Ratan's assumed elitist culture instantaneously dissolved when he wore the Korean automobile manufacturer's uniform and